

# China Consumer Market Quarterly Data Briefing

## — Q2 2026

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### What's Inside

本期关键词

H1 total retail sales reach RMB 24.87 trillion, up 1.3% YoY

Service retail grows 5.3%, outpacing goods by 4.2 percentage points

Online retail hits RMB 10.07 trillion, up 5.2%

Smart glasses sales surge 150%+; high-efficiency appliances up 30%+

28% of Gen Z now using generative AI for shopping

### Three numbers that matter

**Service retail grew 5.3% in H1 2026** — more than quadruple the 1.1% goods retail growth. Chinese consumers are shifting decisively from "buying things" to "buying experiences."

**Online retail reached RMB 10.07 trillion in H1**, up 5.2% and significantly outpacing the 1.3% overall retail growth. The digital consumption engine remains the strongest driver of domestic demand.

**Smart glasses sales grew over 150%**, high-efficiency appliances over 30%, and communications equipment 14.4% — green, smart, and health-oriented consumption is the clear growth frontier.

### **What changed this quarter**

Retail sales bottomed out in May (-0.6%) and rebounded to +1.0% in June

Rural retail grew 2.5%, outpacing urban 1.2% — the rural consumption engine is accelerating

The State Council issued the first-ever five-year consumption plan — “Expanding Consumption 15th Five-Year Plan”

28% of Gen Z now using generative AI for shopping — the AI shopping assistant era has arrived

## **Part 1: Macro Consumption Data**

### **1.1 Total Retail Sales**

In H1 2026, total retail sales of consumer goods reached **RMB 24.8722 trillion**, up **1.3% year-over-year**. Excluding automobiles, retail sales reached RMB 22.9034 trillion, up **2.8%**.

The monthly trajectory showed a V-shaped recovery: retail sales declined 0.6% in May — the first negative print of the year — before rebounding to **+1.0% in June**.

**Monthly retail sales (RMB billion):**

| Month   | Value   | YoY Change   |
|---------|---------|--------------|
| Jan-Feb | 8,607.9 | —            |
| March   | 4,161.6 | —            |
| April   | 3,724.7 | —            |
| May     | 4,109.0 | -0.6%        |
| June    | 4,269.1 | <b>+1.0%</b> |

Source: National Bureau of Statistics

**1.2 Urban vs. Rural**

**Urban retail:** RMB 21.5506 trillion, up **1.2%**

**Rural retail:** RMB 3.3216 trillion, up **2.5%**

Rural consumption has outpaced urban growth consistently since the second half of 2025, reflecting improving county-level commercial infrastructure and logistics networks.

**1.3 Broader Consumption Measure**

The broader measure — total retail sales of goods and services — grew **2.7%** in H1 2026, with **service retail up 5.3%** and goods retail up only 1.1%. This gap confirms the structural shift from goods to services.

**Final consumption expenditure contributed 2.1 percentage points to GDP growth**, remaining the primary engine of economic expansion.

## 1.4 Income & Spending

H1 2026 per capita disposable income grew **4.2%** in real terms; per capita consumption expenditure grew **2.7%**. Consumer confidence remains subdued relative to income growth, suggesting precautionary savings motives remain elevated.

## Part 2: Goods Retail Breakdown

### 2.1 Category Performance

Among 16 major goods categories tracked by the National Bureau of Statistics, **10 categories posted positive growth, with 7 exceeding 5%.**

**Top performers:**

| Category                   | H1 2026 Growth | June 2026 Growth |
|----------------------------|----------------|------------------|
| Communications Equipment   | <b>+14.4%</b>  | <b>+16.5%</b>    |
| Tobacco & Liquor           | <b>+13.2%</b>  | <b>+12.1%</b>    |
| Cultural & Office Supplies | <b>+5.8%</b>   | <b>+12.7%</b>    |
| Grain, Oil & Food          | <b>+7.4%</b>   | <b>+7.9%</b>     |
| Apparel                    | <b>+6.7%</b>   | <b>+3.9%</b>     |

| Category  | H1 2026 Growth | June 2026 Growth |
|-----------|----------------|------------------|
| Cosmetics | <b>+6.3%</b>   | <b>+12.6%</b>    |

Source: National Bureau of Statistics

### **Green, smart, and health-oriented goods saw particularly strong growth:**

**Smart glasses:** sales grew over 150% (recently added to the national subsidy program)

**High-efficiency appliances:** retail sales grew over 30%

**Sport cameras:** sales grew 21.4%

**ECG monitors:** sales grew 89.5%

### **Underperformers:**

Home appliances: -7.4%

Furniture: -3.7%

Gold, silver & jewelry: +1.9% overall, but June declined 3.4%

## **2.2 NEV Retail**

New energy vehicle retail reached **4.704 million units in H1 2026**, with penetration exceeding **54%**.

## **2.3 Retail Format Performance**

Among limited-above retail formats:

| Format             | H1 2026 Growth |
|--------------------|----------------|
| Convenience stores | <b>+6.6%</b>   |
| Supermarkets       | <b>+3.8%</b>   |
| Specialty stores   | <b>-1.5%</b>   |
| Department stores  | <b>-2.1%</b>   |
| Brand 专卖店          | <b>-8.7%</b>   |

Small-format, proximity retail continues to gain share while traditional large-format retail struggles.

## Part 3: Service Consumption

### 3.1 Service Retail Growth

Service retail grew **5.3%** in H1 2026, outpacing goods retail by **4.2 percentage points**. The "buy experiences, buy services" trend is accelerating.

#### Fastest-growing service categories:

**Tourism consulting & rental services:** +11.3%

**Cultural & sports leisure services:** +10.4%

**Communications & information services:** strong double-digit growth